

THE NATURE AND CHARACTERISTICS OF CO-OPERATIVES AND OTHER SHOS

CO-OPERATION is the action or process of working together to the same end. It is the act of working or acting together for a common purpose or benefit that is joint effort, combined effort, teamwork, mutual support etc. Co-operation means voluntary arrangement in which two or more entity engage in a mutually beneficial exchange instead of competing. There are many associations and community organizations whose nature and operation are based on the principle of mutual co-operation and self-help. These include co-operatives as well as community development associations (ISUSU), traditional labor co-operative group, age grade organizations and mutual self-help clubs.

DEFINITIONS OF CO-OPERATIVE.

There are various definitions of co-operative by different authors.

CALVERT defines co-operative as a form of organization wherein persons voluntarily associate as human beings on the basis of equality for the promotion of economic interest of their members.

I.C.A. (International Co-operative Alliance) defines co-operative as an association of persons usually of limited means who have voluntary come together to achieve a common economic objective through the formation of a democratically controlled business organization, and who have agreed to make equitable contributions of the required capital and accepting a fair share of the risks and benefits of their undertakings.

This definition has a number of organizational attributes:

- i. That co-operative is an association of persons which is usually registered under co-operative law
- ii. Members of co-operative organization come together voluntarily for a common economic objective which requires joint action
- iii. Democratic nature of co-operative enterprise, this is reflected on the equitable share of the risks and benefits of the organization.

iv. Co-operative has a higher interest on rendering services at fair cost rather than profit maximization.

CO-OPERATIVE BUSINESS ENTERPRISE

Co-operative society once it is registered acquires its own legal personality, have perpetual succession and can enter into contract.

According to Barko (1987) The co-operative society when registered by the members with the appropriate government agency or office here in Nigeria, with the registrar of co-operative societies acquires its own legal personality.

According to Eastern Nigeria Co-operative Law, a society when registered shall be a body corporate having its name, the name under which it is registered, it shall have perpetual succession a common seal, and with power to hold movable and immovable property of every description, to enter into contracts to sue and be sued and to do things necessary for the purpose of its constitution. The co-operative business is a provider of "co-operative effect."

Co-operative effect means the degree of extra satisfaction which a member of co-operative derives as a result of participating in the co-operative as compared to working alone or as an individual.

1. In developing countries people join co-operatives to enhance their economic well-being since the main objective of a co-operative enterprise is to prevent the common people (their members) from undue inflated prices resulting from the activities of middlemen. Co-operative therefore sell at low or reasonable price to its members. The co-operative business enterprise may have to by-pass the middlemen whose aim is to maximize profit and move straight to the producer.

EXPLANATION OF CERTAIN CONCEPT IN COOPERATIVE

The Dual Role of Members of Co-Operative Society. Members of co-operatives are either the owner/customer of the co-operative enterprise or the owner/employee of the co-operative enterprise. Co-operative business enterprise is

where the owners are at the same time the customer in auxiliary service co-operatives and owners are at the same time the employees in productive cooperative.

Co-operative as open, voluntary, democratic and non-profit oriented

Organization. Co-operative is an organization which is open for anyone to join without any artificial restriction of any kind (like race, religion, economic status).

Membership to co-operative society is open to all willing to join.

Voluntary. Membership is voluntary or willingly in the sense that there is no compulsion to join the society, members have free entrance and exit.

Democratic enterprise: Co-operative is characterized by the spirit of democracy whereby decision making powers depend on the general meeting of members-whereby all members have equal voting right irrespective of status. One man one vote.

Non-profit oriented enterprise. Co-operative is viewed as non-profit oriented enterprise because the main focus for setting up the enterprise is for the interest of the members and not profit motive. Co-operative provides goods to its members at cost.

Promotion oriented nature of co-operative. The aim of co-operative business is to promote socio-economic interest of the members. In order words to meet the common need by joint action based on mutual assistance through establishing a common enterprise.

For instance, if it is a consumer co-operative, the co-operative enterprise can promote the members by:

i. supplying the members with the goods of correct weight and measurement

ii. selling goods to them at fair and reasonable prices.

iii. selling pure goods to members (unadulterated goods).

Co-operative as self-help organization. Co-operative are built on the ideology of self-help. This means that members of co-operative look inwards in seeking

solution to their common problem. The concept of self-help is the most important value of co-operative formation. The members come together to promote the interest of their members on the basis of mutual assistance. Co-operative are believed to come together voluntarily as a group to achieve that which they cannot achieve individually-thereby helping each other or themselves.

Therefore self-help involves promoting the interest of its members on the basis of mutual assistance, group solidarity and self-reliance.

Felt Needs: This refers to the common needs that affect the livelihood of the people/members.

OTHER SELF-HELP ORGANISATIONS (SHOs). In Africa from the time immemorial there has been the existence of self-help associations which can be referred to as co-operative organization but not co-operative society. These include the following:

1. The indigenous savings and credit association (ISUSU)
2. Age grade institution
3. Town unions
4. Rotatory farm work etc.

The Indigenous savings and credit association.

The indigenous savings and credit association also referred to as rotating savings and credit association is of five(5) different types

Type A. In this type members contribute specific agreed amount at regular interval into a common purse. The total amount collected at each occasion is handed over to a member, this is repeated until each and every member has received such payment which is called a "draw."

At the end when the cycle has been completed, a new cycle may be resumed.

Type B. This resembles type A except that its aim and duration are tied to the acquisition of a specific durable asset by an individual member. Such asset is usually pre-agreed by all the members and failure to use the drawn for agreed purpose may lead to disciplinary action against the defaulted member. *e.g. transfer*

of Asset plot of land, motor or VPO

Type C. In this type regular contributions are made and kept in the custody of a trusted member. The total amount is shared among the members at the end of the year.

Type D. In this type regular contributions are made, draw and distributions does not take place, rather loans are advanced to members at reasonable interest payment, and it may be extended to non-members at higher interest rates (if a member guarantees repayment. This activity resemble the activities of the modern banks, collecting savings, making loan available collecting and paying interest without the distribution of the starting capital.

Type E. In this type regular collections are made, no payments to members, loans are not made to members/non-members rather the money collected is invested on behalf of a given member after specific period e.g. one year such investment may be in running a shop or taxi business. The member therefore does not receive any cash, and the round is repeated until each individual member has been served. In summary indigenous savings and credit association is an association meant to mobilize resources, execute project or lend to people who might need the resources which they cannot raise individually. It is therefore a self-help co-operative organization

AGE GRADE INSTITUTION.

Is an association formed by people who are within the same age bracket in a community. It is a socio-economic association, self-help and co-operative organization formed for development of the community where they are formed.

The purpose of age grade includes:

- i. Mobilization of fund for execution of projects that are community based like electricity, town hall, village maternity, bus stop, construction of market for the town etc.
- ii. Maintenance of peace within the community.
- iii. Maintenance of cleanliness of the community and warding off any invading community (provision of security).
- iv. Road construction.

v. Engaging in group solidarity such as rallying around member during such times as wedding, funeral, naming ceremony, wine carrying.

TOWN UNION:

Is an association instituted by any given community for socio-economic development of the community. The town union government is a strong body that look into the affairs of the community as a whole, directing how certain issues will be treated by channeling it in as constitution governing the town. Their purpose is the same as that of age grade.

ROTATORY FARMWORK:

This is an association formed by a group of people for the purpose of carrying out their farm work on a rotatory basis—rotating their farm work among themselves, e.g. a group of 10 farmers can form a rotatory farm work co-operative organization.

CO-OPERATIVE DISTINGUISHED FROM OTHER SELF-HELP ORGANISATIONS

For an organization to be qualified to be called co-operative society, it must possess the following characteristics\

- Co-operative society is a private association of people for the purpose of mutual aid based on self-help where the members have at least one common problem.
- Co-operative society must have a business enterprise through which socio-economic problems of the members can be solved.
- Co-operative enterprise is managed in line with fixed and defined rules.
- Co-operative society is meant to provide goods and services to the members as owner/customer or owner/employee of the co-operative business (dual role).
- Co-operative is meant to fight exploitation and business malpractices.

There are organizations whose activities resemble that of co-operative society but they lack one or more of the already mentioned characteristics. They are co-operative organization in the sense their activities involve people working together to achieve a common goal.

In summary it can therefore be said that all co-operative societies are co-operative organization but not all co-operative organization are co-operative societies.

CHARACTERISTICS OF CO-OPERATIVE SOCIETIES

The characteristics of co-operative can be divided into: (1)

- a. Primary characteristics
- b. secondary characteristics.

PRIMARY CHARACTERISTICS. These are the fundamental or basic characteristic of co-operative societies, which includes the following:

1. **CO-OPERATIVE AS SELF-HELP ORGANIZATION.** Co-operatives help in promoting or lifting the interest of its members by looking inwards in seeking solution to their common problems on the basis of mutual assistance, group solidarity and self-reliance. From the history of co-operative it can be traced that co-operative started initially on the ideology of self-help as the only way out of the exploitation.

2. **MEMBER PROMOTION:** The primary motive of co-operative is to promote the socio-economic interest of their members. People join co-operative as a means of getting solution to their common problems. For instance, in a savings and credit society members interest could be promoted by:

- a. extending credit to members from mobilized fund.
- b. Helping members to save for the rainy days
- c. Selling goods to members at reasonable prizes etc.

3. **DUAL/DOUBLE NATURE OF CO-OPERATIVE.** The co-operative is made up of sociological group that are bounded by common problems and business enterprise through which the problems can be solved.

4 DOUBLE IDENTITY OF MEMBERS. This implies that members of co-operative have dual role in the organization. The members are either owner/customer in the case of auxiliary service co-operative or owner/employee as in the case of productive co-operative. In consumer co-operative all the members are consumers while in productive co-operative all the members work as employee.

SECONDARY CHARACTERISTICS OF CO-OPERATIVE

1. CO-OPERATIVE AS NON-GOVERNMENTAL ORGANIZATION (NGOS)

A non-governmental organization is an organization which is not owned by the government. NGO is neither state or parastatal but a private organization which include:-

- Private profit oriented businesses including multinational businesses
- philanthropic organizations

- all self-help organizations including co-operatives.

In developing countries including Nigeria government is interested in promoting co-operative because they are seen as effective instrument for socio-economic development, this made people to erroneously look at co-operative as government organization.

2. CO-OPERATIVE RUNS AN OPEN SYSTEM. In this view co-operative is open to all intending members to join without any artificial restriction on race, religion, gender, ethnic affiliation etc. There is free entry and exit without any restriction.

3. DEMOCRATIC ORGANIZATION. Co-operative society operate on the principle of democracy, members have equal voting right irrespective of the number of shares or contribution made by a member. As democratic organization the highest decision making organ of the co-operative is the general meeting of members where members cast their vote-one man one vote.

4. PERPETUAL SUCCESSION. Co-operative society enjoys a stable life that is continuous existence. The co-operative survives/continue to be in existence even if the founding member/member dies, resign or leave the

5. SYSTEM DETERMINING INSTITUTION. The operation of co-operative all over the world differs from country to country. In developing countries such as Nigeria and India, they are sponsored and controlled by the government/state. In the socialist and communist economic system, co-operative are seen as part of state apparatus for development while in the developed western capitalist economy they function just like any other private business organization.

APPROACHES TO THE DEFINITION OF CO-OPERATIVE

Basically there are two approaches to the definition of co-operative;

1. The Essentialist approach
2. The Nominalist approach

The Essentialist approach. This approach emphasizes on the principles of co-operative and essential goals that every genuine definition of co-operative should pursue while defining co-operatives. Here the principal objective is the attainment of values, ideology and overall economic and social goals. According to the advocates of this mode of definition any co-operative that does not embody these principles and concrete goals does not qualify to be called co-operative society.

The Nominalist approach. This emphasizes the definition of co-operative societies based on the organizational structure or basic characteristic elements. A co-operative society has a double nature ie socio-economic, double identity (members are the same time customers/workers) These basic characteristics elements of co-operative societies are system indifferent ie they are common to co-operative society whether they are found in capitalist, socialist, communist or mixed economic system. The advocate of this approach are of the opinion that co-operative should be defined based on these fundamental characteristic elements.

Definitions of co-operative according to nominalist approach. The nominalist approach to the definition of co-operative were long recognized by German co-

operative scientist Prof. Eberhard Duffer. He has been one of the chief exponent of the nominalist mode of defining co-operative.

A co-operative is thus defined by Duffer as:

- A group of persons with at least one economic interest and variable members.
- The aim of the group and each individual member is to meet common need by joint action based on mutual assistance.
- The means to achieve this aim is to establish a common enterprise (co-operative enterprise)
- The goods and services are made directly available to the members as customers or employees of the co-operative enterprise.

S.V Berko (1989) defines co-operative as "an association of persons with variable membership and variable capital who have pooled themselves and their resources together on mutual or self-help basis to form a business enterprise which seeks to solve the socio-economic problems of the members by directly providing goods and services to them in their capacity as either the owner/customer or owner/employee of the co-operative enterprise." This definition has met the requirement of nominalist approach to the definition of co-operative by embracing the fundamental characteristics of co-operative societies such as:

➤ Double nature of co-operative.

➤ Double identity of members.

➤ Member promotion focus of co-operative. The author wishes to define co-

operative as an association formed by a group of people who have common problems and who have set out to solve their socio-economic problems through establishment of business by patronizing the business as either member/customer or member/employee of the co-operative business.

Hence in using nominalist approach to defining co-operative the problem of ideological differences and genuine co-operative does not arise. The nominalist approach does not discriminate any country of the world in its method.

DEFINITION OF CO-OPERATIVES ACCORDING TO ESSENTIALIST APPROACH

1. German author Prof Greenfield defines co-operative as: An association made up of socially weak persons who endeavor to achieve certain social aims within the frame work of an enterprise open to all and based on the rules of solidarity and democracy. This definition shows that the association is formed by people of average and low income earners.
2. H Calvert (Calcuta 1959) defines co-operative as "a form of organization wherein persons voluntarily associate as human beings, on the basis of equality for the promotion of the economic interest of themselves". This definition highlights that co-operative is formed based on willingness of the members, it emphasizes on human being not capital and finally the member promotion focus of the co-operative society.
3. Professor Paul Lambert defines co-operative as "an enterprise formed and directed by an association of users applying within itself the rules of democracy and directly to serve both its own members and members of the community as a whole.
4. The Western German Co-operative Societies Act, Sec 1 defines co-operative as "societies the membership of which is not closed, which have the object to promote the economic activities of their members by means of a jointly operated enterprise". This definition is focused on the principle of open membership and member promotion through the establishment of a business enterprise.
5. Under the Japanese co-operative Law of 1921, a co-operative society is defined as "an association having legal existence formed by persons of modest means in order to promote and develop according to the principle of mutuality, the exercise of their economic condition. This definition emphasizes on legal personality of co-operative society and that co-operative are formed by people of average and lower income earners and finally that operation of co-operative is based on the basis of mutual assistance.
6. An American writer P.L. War Base define co-operative as the voluntary association of consumers into a society controlled a s possible for the purpose of directly supplying their immediate needs by observing defined and generally accepted rules of action. This definition view consumer co-

operative as the only co-operative in existence. It creates a wrong impression that apart from consumer co-operative no other co-operative society exist.

THE VALUES AND PRINCIPLES OF CO-OPERATIVE.

Values implies what motivates people to do something, chose something, or attach importance to something. People form or join cooperative because of immediate benefit or future values. The operation of every cooperative society focus greatly on these values : basic and ethical values.

Basic values deals with the structure of the cooperative organization while the ethical values is concerned with moral behavior.

BASIC VALUES	
Self-help	Honesty
Democracy	Openness
Equality	Social responsibility
Equity	Caring for others
Solidarity	

SELF-HELP. Is the most important of the cooperative values because the whole idea of cooperation is based on this value. This value involve members of cooperative operating on mutual basis and self-reliance looking inward to find solution to their common problems rather than depending on the government.

EQUALITY. In carrying out the affairs of the cooperative societies, all members act as being equal irrespective of shares held in the society. Members have equal right of participation that is take part in decision making, the right to be heard by others.

DEMOCRACY. The Rochdale Pioneers brought the idea of democracy through the system of "one man one vote" in decision making.

EQUITY. Equity is the proportionate reward derived for participating in a co-operative society through the number of shares held or level of patronage in the society's business.

SOLIDARITY. In co-operative people can achieve more through joint action, every member strive to achieve common goal through joint action. In real sense solidarity means "each for all and all for each member".

HONESTY. In cooperative transaction should be true and fair such as correct weight and measures, unadulterated goods. Bad behaviors such as cheating, lies, bribery etc. must be avoided in any cooperative transaction.

OPENNESS. Transactions of cooperative should be made open to all members and interested group, their account should be published regularly and made available to all who are interested.

SOCIAL RESPONSIBILITY. Cooperative apart from economic gains inform people through social interaction. Cooperatives act for the benefit of the society at large.

CARING FOR OTHERS. Cooperatives are way out of poverty in our society because they assist the poor ensuring a new and better way of life the people.

PRINCIPLES OF COOPERATIVE (ROCHDALE PRINCIPLES.)

The Rochdale pioneers were the first to establish a successful cooperative society. They formulated a set of rules called Rochdale principles designed to guide the conduct and operation of their society. The Rochdale principles include the following:

1. Open and voluntary membership
2. Democratic management and control
3. Limited return on share capital
4. Patronage return in proportion to turnover
5. Neutrality in race, religion and politics
6. Cash sales of goods at market prices
7. Sale of only pure and unadulterated goods
8. Continuous education of members

Open and voluntary membership The society must be thrown open to all person irrespective of sex (gender), race, religious discrimination. Similarly, a member can resign any time without any restriction.

Democratic management and control. All members had equal voice, vote, and independence in the affairs of the society. Decision and control of the cooperative activities were taken jointly in the general meeting of the members where all have equal voting right.

Limited Return on Capital. The share capital contributed by members had limited interest. It was a principle designed to prevent domination of the society by members that might have contributed high capital. At best, a fixed interest of the total capital was laid down.

Patronage return in proportion to turnover. Surpluses or savings were distributed to members in proportion to individuals turnover made to the society. This suggested that members got their refund in proportion to the amount of contribution (through buying from the society) made in generating the surpluses. This principle encourages members to patronize the society.

Neutrality in race, religion and politics. Cooperative should not discriminate, everybody is free and has equal rights to join the society. The objective was to maintain strong internal unity among the members.

Cash sales of goods at market prices. Cooperatives purchase goods in large quantity and sold to their members at fair market prices and on cash basis. No selling on credit to avoid liquidation of the cooperative society.

Sale of pure and unadulterated goods. Cooperatives bought goods directly from the genuine producers and sold to members avoiding market intermediaries. The objective of this principle was to guarantee that the goods purchased by members were pure, of high quality and unadulterated.

Continuous education of members. Continuous education of members is an instrument for acquisition of skills, knowledge and confidence for effective and efficient administration of cooperative society. Majority of the fore-runners of

cooperation laid emphasis on education as agent of socialization and enhancement of the specific roles of the cooperative.

DIFFERENCES BETWEEN CO-OPERATIVES AND OTHER FORMS OF BUSINESS.

There are basically two forms of business organizations.

1. Incorporated business enterprises
2. Unincorporated business enterprises.

INCORPORATED BUSINESS ENTERPRISES. Are business firms that are registered according to the companies and Allied Matters Decree (CAMD) 1990. Incorporation of a company is attached with legal responsibilities which demand the assistance of an attorney, a business consultant or an experienced company secretary. Incorporated business is a registered business organization.

UNINCORPORATED BUSINESS ENTERPRISE. Unincorporated business firms are incorporated/registered and are established without any legal procedures. They have nothing to do any Act of parliament decree.

CO-OPERATIVE COMPARED WITH JOINT STOCK COMPANY (JSC).

A member of co-operative differ from a member in JSC in the following ways:

1. Objective of the members. In a co-operative the member want to receive a direct promotional effect from the society for eg a farmer will want to be supplied with inputs by the society. In a company, the shareholders aim is to acquire profit made by the company through dividend. In order words a co-operator has a promotional motive while capitalist shareholder has a profit motive.

2. Qualification of members. In a normal co-operative society a member must attain the age of 16 years (18 years in some laws) except in school co-operative where a member can be 8 years while in JSC no age limit is required. In a co-operative society members are expected to be resident in the area of operation (eg productive cooperative) but in JSC you can reside anywhere.

Qualification

3. Size of membership. By law, a primary co-operative requires at least 10 persons to form the organization while in JSC at least 7 persons are required. Both organizations have no upper limit for membership size.
4. Financing. Both co-operative and JSC finance their operation mainly through the following ways: share capital (equity capital), reserves, and external loans.
- In JSC there is no maximum limit of ownership of capital to be contributed by an individual. One member can own 98% or more of the total shareholding. In primary co-operative there is a maximum limit of capital, thus in Nigeria the maximum is expressed as 20% of the total share capital.
5. Voting. In most countries the law imposes one man one vote principle on primary co-operative societies. In Company ones vote is tied to one's share capital. Voting right is therefore directly proportional to their capital in the company.
6. Management. The management of co-operative is traditionally left in the hand of management committee but in JSC we have the board of directors at apex managing the affairs of the company.
7. Disposal of surplus/profit. The net profit/surplus by both form of organization (JSC and co-operative) are distributed as follows: In JSC the profit are distributed as: (i) 25% minimum reserve (ii) dividends based on share capital, (iii) voluntary reserve.
- In co-operative net surplus are distributed as (i) 25% minimum reserve, (ii) patronage rebate based on the volume of the business a member did with the society, (iii) voluntary reserve.
8. Liability. Most JSC adopt limited liability. In advanced countries most co-operative also adopt limited liability but in developing countries co-operatives often adopt multiple liability of the shares in case of liquidation.

CO-OPERATIVE BUSINESS ENTERPRISE COMPARED WITH PARTNERSHIP BUSINESS ENTERPRISE.

1. Size of membership. In partnership the minimum member membership requirement is 2 while the maximum is 20. In co-operative the minimum is 10 members in primary co-operative and productive 6 members. Co-operative has no maximum size of membership.

2. Objective of members. Partners are just like shareholders in a company who seek to make profit by offering their goods and services to the third party. In co-operative members are people who want to promote their interest through common co-operative business.
3. Financing. Law does not regulate how a partnership will be financed, one member out of 10 can own about 66% of the shares. In a co-operative one member cannot have more than 20% of the shares; this is to avoid one member dominating the shares of the society and also to reduce the danger of overdependence of co-operative on few people.
4. Voting. The deed of partnership which is the written agreement between partners usually specify how voting is to be carried out, but where by the partnership deed fail to make provision for the voting then discussion are usually carried out by a consensus. In a co-operative discussion are reached by majority vote ie simple majority.
5. Disposal of surplus. Disposal of surplus in partnership is also determined by partnership deed or in some cases profit are distributed equally among members. In co-operative surplus are distributed through patronage rebate and this is in proportion to the contribution they made to the society.
6. Management. In both organization members may be involved in the management of the organization. In partnership, if partners are made up of professionals all of them will be involved in the management of the firm as it is in the case of firms for lawyers, accountants, doctors etc. In co-operative, however, it is the management committee members that are involved in the day to day management of the society. In partnership the chief executive is one of the partners himself but in co-operative the chief executive is hired personnel except in productive co-operative.
7. Liability. In partnership, there is what is called (an) ordinary or general partner who takes part in the management of the partnership and therefore has unlimited liability. (b) The sleeping or limited partner does not take part in the running of the business and therefore his liability is limited. The liability in co-operative is uniform for all the members. Liability in co-operative is either limited, unlimited or multiple liabilities.
8. Life of the organization and its legal nature. Co-operative once registered under the law becomes a body corporate with perpetual succession. The death or withdrawal of one member or some members does not lead to the

dissolution of the co-operative but in partnership when one member dies or withdraws that ends the partnership

CLASSIFICATION OF CO-OPERATIVE SOCIETIES

Co-operative societies can be classified using the following criteria

1. Classification according to functions performed. Here the basic question is what function does the co-operative business enterprise perform on behalf of its members? Does the co-operative business enterprise perform all the functions or perform some functions while leaving other functions to be performed by the members private business enterprise. According to functional classification we have two basic types of co-operatives:

a: productive co-operative.

b: Auxiliary/service co-operatives.

Productive co-operative. In productive co-operative the principal objective is carrying on of productive activities such as agricultural or forestry production (farming), manufacturing, fishing etc. The productive co-operative is of two forms: (i) Full productive, (ii) Ordinary productive. Full productive: In full productive, co-operatives execute both economic and social functions for the private household of their member. Ordinary productive. Here Co-operatives takes over only the business functions of the private individual member, Hence members cater for their family.

2. According to legal status of the societies. Here we have (i) Registered co-operative and (ii) Unregistered co-operatives. Registered co-operatives. Are co-operative which have been incorporated formally by the registrar of co-operative societies. They are legal entities or 'beings' that can sue and be sued, have power to possess or dispose property with all legal rights. Unregistered co-operatives: They are the co-operative which have not been registered formally by the registrar of co-operatives. And as such, they are illegal, unrecognized, and null and void and therefore cannot be allowed to operate in civilized countries.

3. **Geographical Area of Operation.** Here we have
- (i) **Urban co-operative,** where the co-operative operate or existing urban or developed areas. (ii) **Rural co-operative** whereby the co-operative operate in rural or underdeveloped areas.
4. **According to the organizational level of operation or hierarchy.** This examines the structural organization of the co-operative within an area. Structurally co-operative has three levels:
- a. **Primary co-operatives.** These are societies that exist at the grass root level. They consist of individual human beings as members. They are found in villages and town level. Funds at this level is mainly through self-help, though there could be injections from outside in form of loans grants
 - b. **Secondary co-operative.** This is where primary co-operatives come together to form secondary co-operative or union and operate at the local government level. This is the second tier of the co-operative organization and it has large area of operation.
 - c. **Tertiary co-operatives.** This is the third tier of co-operative organization. All primary and secondary co-operative federate to form the tertiary co-operative in most cases. Their organizational level of operation covers the whole country or sometimes the state as the case with Nigeria. For example in all the thirty six states of Nigeria we have thirty six state co-operative federations.
5. **Based on the sector of the economy.** This classification emphasizes on the sector which co-operative engage in, which include the following:
- a. **Agricultural sector:** They comprise mostly farmers who engage in agricultural production or procurement and lending of farm implement.
 - b. **Industrial sector:** Member of industrial sector concentrate on small scale industrial production e.g. co-operative block industry.
 - c. **Trading sector.** Trading co-operative undertake wholesale or retail co-operative business.
 - d. **Service sector.** Co-operative in this sector engages in services like insurance, lending thrift and saving, transport, healthcare, electricity etc.

c. Based on Economic status of the members. Economic status is emphasizing on the real economic activities carried out by then members of co-operatives Here we have the followings:

A. Producer co-operative: These are the producers of goods and services who made the products available to other co-operatives. Examples of producer co-operative are:

i. Farmers' co-operative.

ii. Craftsmen co-operative.

iii. Traders co-operative.

B. Workers co-operative: Members of this co-operative desire to obtain remuneration for their labor through co-operatives. The present harsh economic realities in Nigeria have forced workers to make collective bargain through co-operative.

This consists of members who consume goods by buying at fair market prices from their co-operative.

7. Based on the number of fields of operation. Co-operative can be classified based on the number of field of operation they engaged in.

a. Single purpose co-operative. These co-operative engage in one field of activity or one area of operation. It means they engage in one business only eg production of blocks, poultry, marketing etc.

b. multi-purpose co-operative. These are cooperatives that engage in more than one field of operation. In order words they have two or more purpose which could be thrift/saving and lending, marketing and provision of extension services

8. Based on gender of the members. Here we have

a. Men's co-operative. All the members of the co-operative are men who through joint effort intended to solve their social and economic needs.

b. Women's co-operative. All the members are females organized to enhance their standard of living.

c. Mixed co-operatives. Consist of men and women who have contributed to form co-operative in order to meet their social and economic needs.

9. Size of membership

1. Small size co-operative probably below ten members.
2. Medium size co-operative. Is co-operative where members may be above thirty.
3. Large size co-operative. The number of membership is perhaps above two hundred.

10. Degree of liability of members.

- a. Limited liability in the event of liquidation or bringing the existence of co-operative to an end members only lose the contribution they made in the society.
- b. Unlimited liability. This means that the liability of members can go beyond their contribution in the case of liquidation. They may sell their personal belongings to settle their debt (society's debt).
- c. Multiple liabilities: In this regard member's joint liability includes the shares held and the value of a specified and collective accepted multiple.

TYPES OF CO-OPERATIVES AND THEIR FUNCTIONS.

Co-operatives are organized voluntarily by a group of persons to achieve specific objectives. The objective may be economic, social or both depending on the type of profession of the co-operators. The co-operative ordinance in Nigeria (1935) has necessitated the existence of the following major types of co-operatives.

1. Agricultural co-operative
2. Consumer co-operative
3. Marketing co-operative
4. Industrial co-operative
5. Housing co-operative
6. Co-operative thrift and credit societies.

✓ Agricultural Co-operative Societies.

These are the co-operative that engage in productive activities, processing, management and production of plants and animals. Some of these agricultural co-operatives are:

- a. Oil mill co-operative societies
- b. Group farming co-operative societies
- c. Livestock farmers co-operative societies
- d. Farmers (multi-purpose) co-operative societies
- e. Processing co-operative societies
- f. Tobacco growers co-operative societies
- g. Forestry co-operative societies etc.

CONSUMER CO-OPERATIVE SOCIETIES. The history of consumer co-operative started in England as a result of industrial revolution ie changes in area of industries due to invention of machines to replace manual production. Consumer co-operatives purchase a wide range of goods in large quantities from the producers at fair market prices and sell to their members at highly reduced price or at cost prices. Members enjoy a lot of advantages from this business method such as

- Elimination of numerous intermediaries.
- Prices of commodities are cheaper.
- Provision of pure and unadulterated goods
- Ensuring availability of consumer goods
- Avoidance of unfair trading practices by private enterprises
- checks the exploitation of consumers.

- Reduction of artificial scarcity/hoarding of a product. It is observed that some consumer co-operatives engage in non-member business, they sell goods to non-members at different price. Besides, the non-members do not enjoy the patronage refund granted to members of consumer co-operative.

~~MARKETING CO-OPERATIVE~~

Marketing co-operatives engage in all marketing activities by ensuring goods and services of producers co-operative are distributed and sold at fair market price to the consumers. Marketing co-operatives eliminate the long chain of distribution (market intermediaries) by ensuring that consumers obtain the commodities at fair or reasonable prices because each intermediary adds some profit margin to whatever he buys.

Some of the functions of marketing co-operatives are:

- a. Buying of producers commodities. They assemble the produce of producers by ensuring quality goods available to consumers.

- b. Transporting the produce in bulk in order to reduce costs.
- c. Undertaking processing and packaging in some cases.
- d. proper storage of produce to prevent decay.
- e. Obtaining information concerning the market.
- f. Grading of agricultural products and fixing of prices for each.

- g. Looking for profitable market usually by avoiding middlemen and negotiating price.
- h. as a business with dual responsibility ie responsibility to Co-operative as a marketing organization is regarded cater for the interest of members and secondary the responsibility to the community in general.

~~INDUSTRIAL CO-OPERATIVE SOCIETIES~~

Small

Industrial co-operative consist of persons who engage in small and medium size industrial production. Ownership and management of these co-operatives are vested on the members. They undertake agro-allied manufacturing which includes the following.

Processing of raw material.
 Carving
 Production of agricultural implements.
 Block molding.
 Metal production.
 Art work production.
 Manufacture of consumer product and other household utensils.

The major objectives of the industrial co-operatives are

1. To satisfy the economic and social interest of the members.
2. Generate employment opportunities for the society.
3. To boost exportation of the country's product.
4. To reduce importation of foreign products.
5. To serve the industrial needs of the nation
6. To increase returns and enhance per capita income of members.

HOUSING CO-OPERATIVE SOCIETIES.

Co-operators in housing co-operatives or building societies organize themselves with the aim of ownership of buildings, collective purchase of houses, raw materials for construction and credit lending at reduced interest rate. The major objectives of housing co-operatives are:

- provide good housing facilities for the society.

- receive deposit from members at interest.

- improve the health conditions of the populace by engaging in low income housing scheme

- ownership or purchase of building through collective bargain

- housing co-operative perform some of the functions of banks in terms of deposit and credit lending.

CO-OPERATIVE THRIFT AND CREDIT SOCIETIES.

Thrift and credit co-operative consists of persons who voluntarily organize and inspire themselves into undertaking regular savings of part of their earnings and lending such to members who need it at low interest rate. The function of thrift and credit co-operative society are:

1. provision of financial assistance to members. Needy members can obtain financial assistance from this society to solve their financial problems.
2. Cultivation of savings culture: Through this type of co-operative individuals who have not been saving part of their earnings are encouraged to commence saving.
3. Financial and investment guide. Thrift and saving co-operative are experts in financial management and investment.

4. Pooling of national savings. It is highly possible for thrift and credit co-operatives to pool all the credit deposited with them and lend same to prospective borrowers for investment and national development. Owing to credit creation effect, it accept deposits, grant credit (ie loan out part of the deposit) and keep some aside as reserves.
5. Agent of government. At times thrift and credit co-operative act as agent of government for distribution of soft loans to small and medium scale enterprises.

CO-OPERATIVE FINANCING.

Co-operative like other forms of business requires sufficient finance in order to execute their project thereby attaining their objectives for which they are established. There are two major sources of financing co-operative.

1. Internal financing or owned capital.
2. External financing or borrowed capital.

INTERNAL SOURCES. As the name implies, it refers to funds generated from members of the society to finance their project. The funds are generated through the following sources

1. share capital

- ii. Subscription in form of savings.
 - iii. Reserves.
 - iv. entrance fees.
 - v. fines.
 - vi. surpluses.
 - vii. special deposits.
- All these constitute the capital-owned or equity or risk capital. These capital are not repaid in any future time except share capital which is repayable on expulsion, or resignation of a member.
- Share capital. Share capital is the main source of cooperative internal financing, it greatly depend on the capital requirement of the proposed project. It consist of contribution of members on enrollment as new members. Share capital is not refunded to the members except on expulsion or resignation of a member. In Nigeria, the co-operative societies Decree 1993 states that no member shall hold more than 20%(1/5) of the society's share, no matter the amount of shares you have, you have only one vote in the society ie to say that your stand in the society is not dependent on your shareholding.
- Limitations of share capital.**
1. The principle of one member one vote discourages affluent members from subscribing to large shares in the society.
 2. Share capital in co-operative attracts little or no interest
 3. Membership size is small to attract large capital base
 4. Share certificates are not issued to members of co-operative
 5. Majority of the members are low-income earners
 6. Membership of co-operative with multiple liabilities are disadvantaged when the organization incur higher liabilities

7. The co-operative law limits transfer of shares to non-members

Subscription in form of savings.

Co-operative societies emphasize savings through weekly or monthly subscription by members as a means of providing more fund for the operation of the society. The savings increases the capital base of the society and serve as easy and painless method of accumulating capital over a period of time. Interest is paid to subscribers in order to motivate them. A member can only withdraw thrift savings for productive purposes.

Merits of savings.

1. Savings are sources of co-operative capital formation.
2. It curtails extravagancy of some affluent members.
3. It serves as avenues for members to save some incomes.
4. Savings are gradual means of owning property and assets.
5. Savings attract some interest.

RESERVES: According to the co-operative law 25% of the annual surplus of every co-operative society is allocated to the statutory reserve funds. The importance of reserve fund is that it serve as long-term capital for investment and also acts as a buffer for the protection of the members liability ie losses can be covered without calling on members for additional payment/contribution.

Advantages of reserves.

1. Reserve fund are reliable sources of financing co-operative business, members have no claim to the reserve upon withdrawal.
2. Reserves do not attract interest rates because they are funds owned by the society therefore they are indivisible.
3. Reserve increases the credit worthiness of co-operative societies through accumulation of huge reserve.
4. It provides long-term capital for future investment.
5. It serves as strategies for protecting members from liabilities since debts can be repaid without tasking members.
6. Reserve fund enhance self-reliance principle of co-operative.

Disadvantages of reserves.

1. Reserves accumulated at the expense of members share of surplus and patronage refund is not motivational.

7. Out-going members are disadvantaged since they cannot lay claim on the reserves.

3. The financial gurus operating the reserves may misappropriate the fund if not properly supervised.

Entrance fees. Entrance fees are some other means of getting funds for co-operatives. They are part of voluntary reserves used to settle other financial needs and indication of serious commitment to the membership of the co-operative. Entrance fees are administrative compensation for registration of new members and serve as working capital. Most co-operative make entrance fee a requirement for qualification as member.

Fines. Fines are penal charge against a member for contravening the rules of the society. Such fines can be for misconduct like lateness to meeting, breach of co-operative principles, absenteeism from meeting without permission, members that breach the bye-laws, defaulters in loan repayment etc. Though funds from fines are negligible, nonetheless, they augment other sources of funds. Surpluses: Annual net surpluses made by co-operative societies at the end of the year also form part of their funds. When surpluses are accumulated, a certain percentage of it is kept as reserve, also good accumulated net surpluses increases the working capital of co-operatives. Affluent members of co-operative societies are encouraged to deposit their accumulated surpluses in the society, while the deposits are still with the co-operative society they serve as funds. Special deposits are withdrawn on depositors' demand.

Advantages of special deposits.

1. They reduce unnecessary financial extravagance on the part of rich members.
2. Idle funds are put into useful investment.
3. It increases the capital base of the society.
4. Management of co-operatives exercise increase autonomy when the co-operatives finance are huge.

EXTERNAL FINANCING

External financing involves sourcing of funds from outside the co-operative to meet the financial requirement of co-operative societies when the internally

generated capital is insufficient. The general meeting of the members determines the maximum capital to be borrowed.

The external source of financing co-operatives are:

1. Loan and overdraft from financial institution
2. Deposits and loan from non-members
3. Government grants
4. Trade credit
5. Borrowing from non-members
6. Foreign aid/international organizations
7. Co-operative financial institutions

Loans and overdraft from financial institutions. Co-operatives source capital from financial institutions especially commercial banks to meet their financial requirement. However, banks lend on strictly banking regulations, making it mandatory for co-operatives to provide collateral security. It is unfortunate that co-operatives encounter problems in this regard. Guarantors for the loan are not easily available and in the case of overdraft where by the co-operatives are allowed to draw more than the amount they have in the bank on presentation of collateral security, such securities may not be available.

Deposit and loan from non-members. Co-operative societies carry out savings activities. they allow non-members to save with them and this is an advantage to both parties. The society can equally seek for loan usually for specific project.

Government grants. Government grant are free and not repayable. Grant is an award/giving of financial assistance in form of money by the government to the society or specific project. Grants are given to co-operatives to meet their financial needs.

Trade credit. Trade credit means buying of goods on credit. Co-operatives also buy goods on credit from the suppliers who can be a firm or a sole proprietor. The payment date for the goods is usually agreed upon by the seller and the buyer and the cost of the goods is usually higher than buying with cash. Cash discount and trade discount are usually the accounting concepts associated with trade credit which induces instant payment or to be granted good bonuses.